

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

Exploring a WakeMed Health and Hospitals DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS



DIRECT-TO-EMPLOYER (DTE)

Your Health Plan
Focused on a Direct
Relationship with Self-
Funded Employers in
Your Market



YOU Pick the Name of the Health Plan



YOU Determine the Fees Charged



YOU Practice the Medicine



YOU Receive the Profits



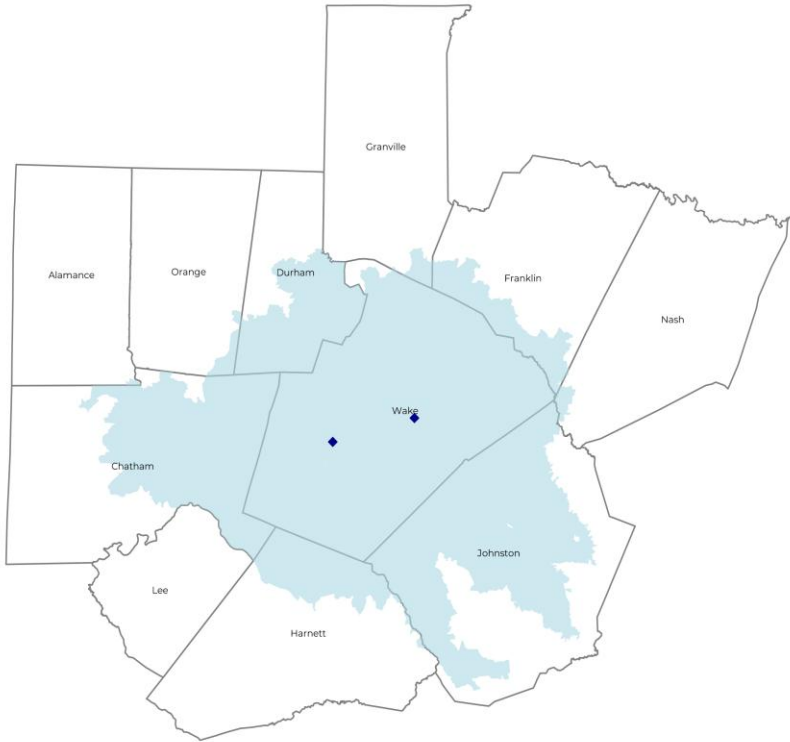
WE Make it Successful

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

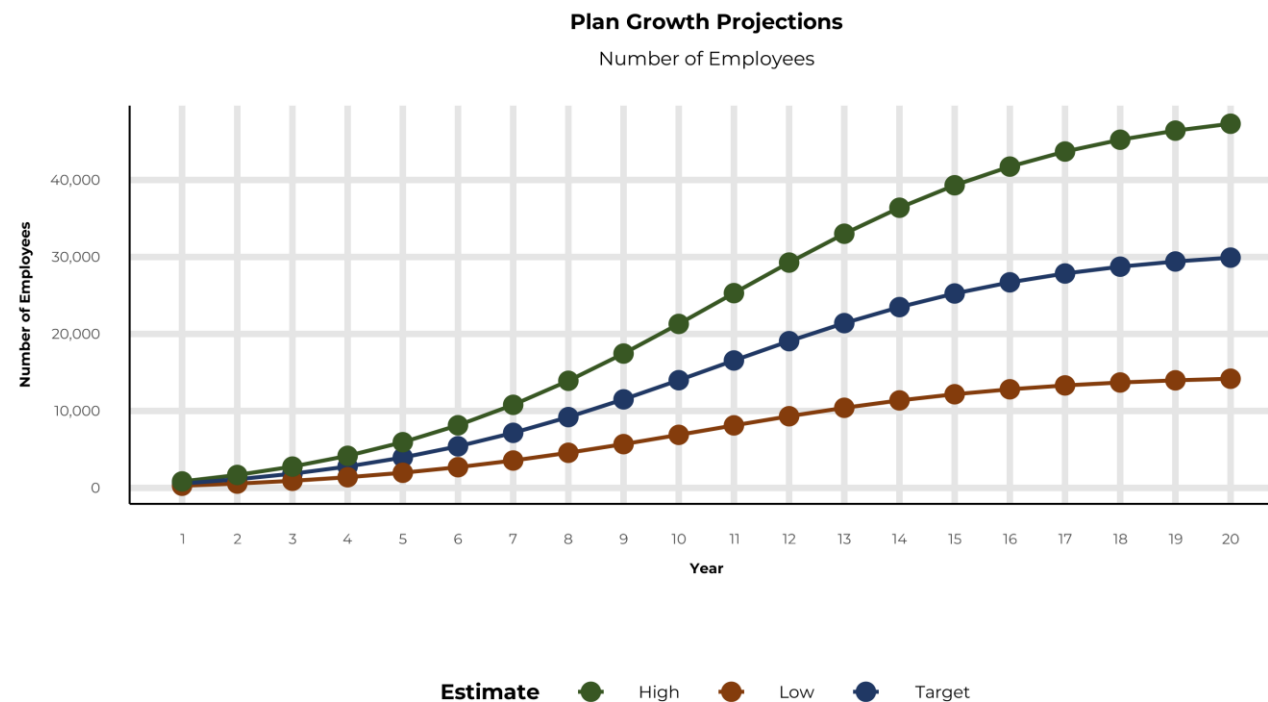
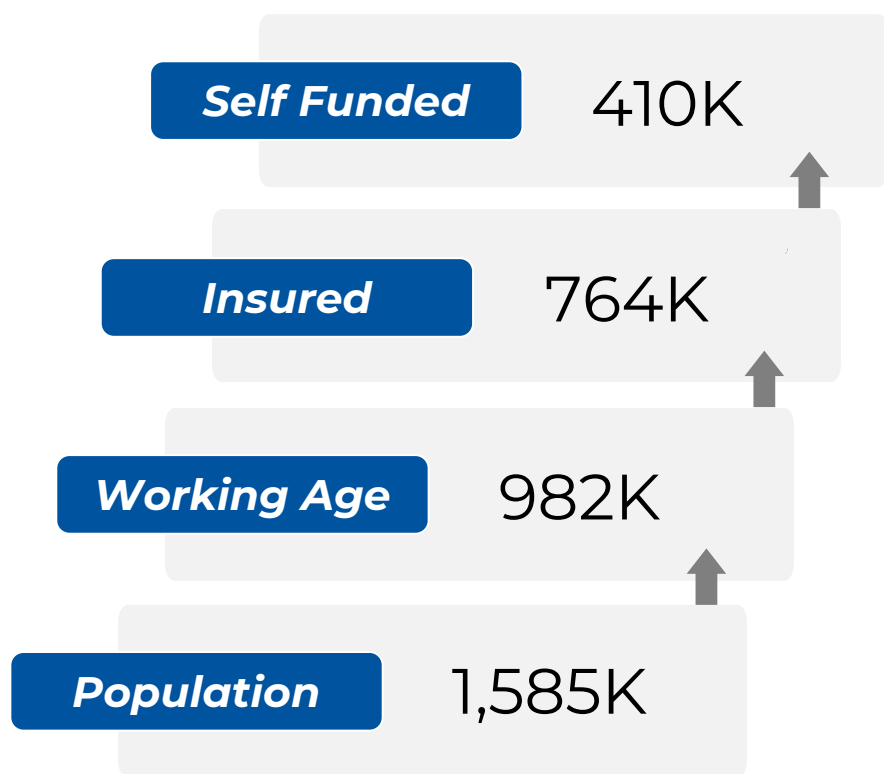
Target Market

2,200+ Employers ➤ 410,000+ Employees ➤ 840,000+ Members



	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	1,132	497	306	223	67	61
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	84,900	74,600	91,800	156,100	134,000	366,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	152,800	134,300	165,200	281,000	241,200	658,800

PLAN POTENTIAL GROWTH PATHS



Estimates includes the WakeMed Health and Hospitals service area in Chatham, Durham, Franklin, Harnett, Johnston, Orange, and Wake Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$13.47M** New Profit: **\$3.63M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$79.91M** New Profit: **\$22.53M**

Mature Stage

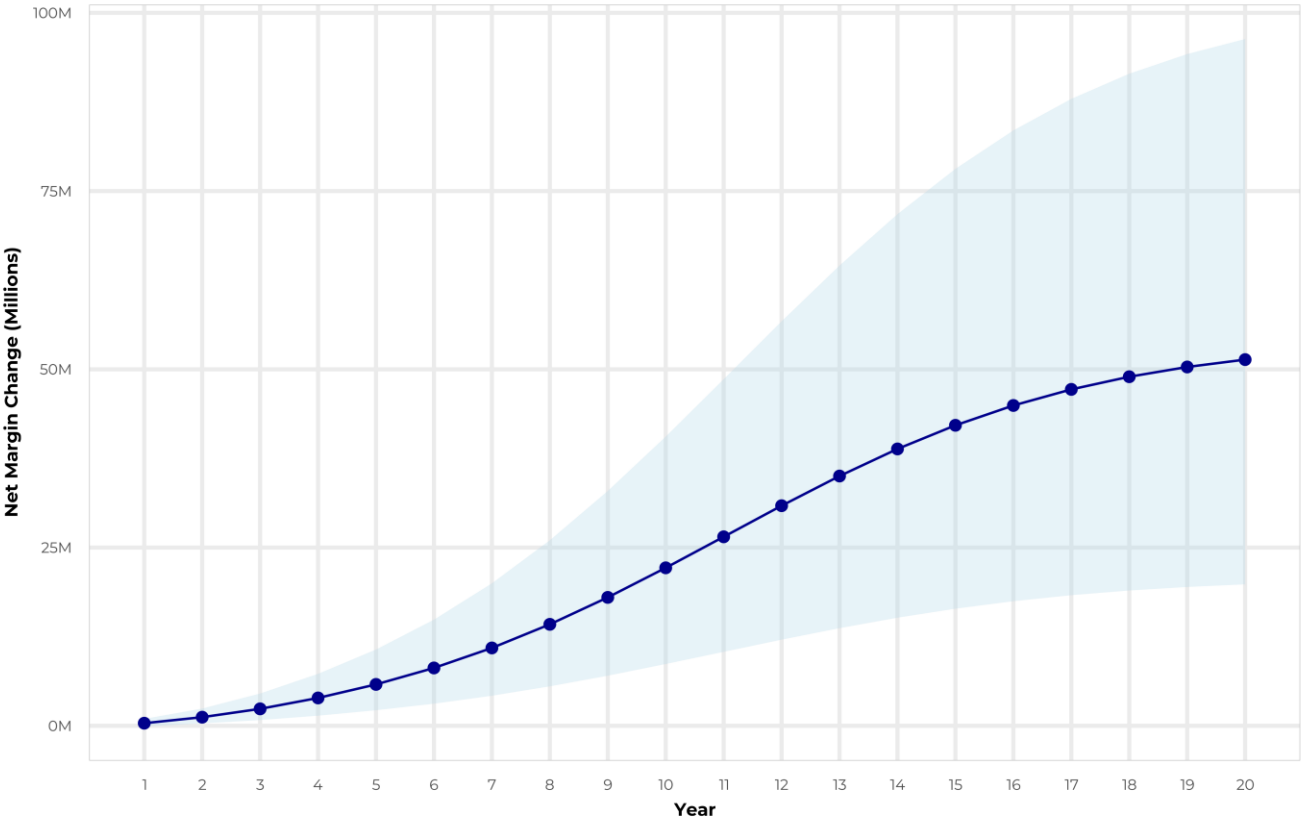
High Profitability, Market Saturation

New Revenue: **\$163.48M** New Profit: **\$46.25M**

Net Margin Change Over Years

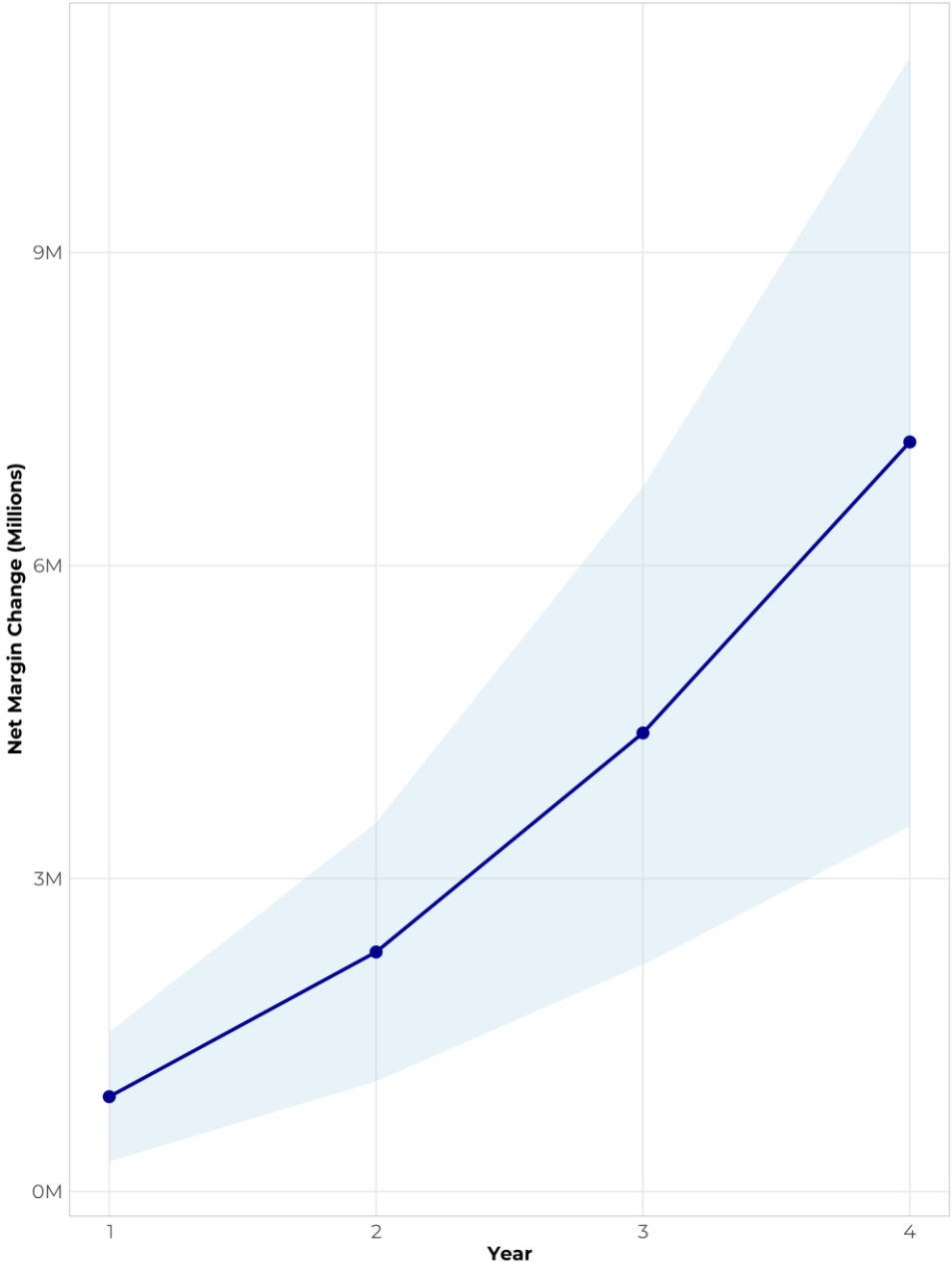
Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 28%



FOUR-YEAR PROJECTIONS

Net Margin Change Over Years
Variation by Member Growth With Target Estimate Assuming
50%+ Within-Plan Steerage and a Commercial Margin of 28%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,000	2,000	3,300	5,000
Incremental Margin	1,227.6K	2,452.4K	4,535.8K	7,303.9K
Network Access Fee	12.0K	24.0K	39.6K	60.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	909.6K	2,296.4K	4,395.4K	7,183.9K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,500	3,000	5,000	7,500
Incremental Margin	1,841.4K	3,678.6K	6,872.4K	10,955.9K
Network Access Fee	18.0K	36.0K	60.0K	90.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	1,529.4K	3,534.6K	6,752.4K	10,865.9K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	500	1,000	1,700	2,500
Incremental Margin	613.8K	1,226.2K	2,336.6K	3,652.0K
Network Access Fee	6.0K	12.0K	20.4K	30.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	289.8K	1,058.2K	2,177.0K	3,502.0K

DIRECT-TO-EMPLOYER STRATEGY:

ONLY AVAILABLE TO *PREMIER* HEALTH SYSTEMS



STRONG Brand Quality

EXTENSIVE Patient Access

AFFORDABLE Value Pricing

EXCELLENT Care Quality

THE BENEFIT STEERING THE PATIENT TO WAKEMED

What Will this Claim Cost Me?



WakeMed Health and Hospitals patients can have all out-of-pocket liability reduced to \$0!

KEY BENEFIT
ADMINISTRATORS

Explanation of Benefits	
Heart Attack, Cardiac Surgery	
THE CHARGES	
Medical Bills	\$25,000
Healthcare out-of-pocket due to provider	\$4,500
Since your out of pocket maximum has been met, the rest of your eligible charges this year will be paid at 100%	
THE CREDITS	
OP Radiology/X-Ray	\$200
OP Diagnostic Labs	\$100
Preferred Hospital Stay (\$500/day, 5 days)	\$2,500
Critical Illness Benefit	\$2,000
Health Screening Benefit	\$125
Benefit Total	\$4,925
Out of Pocket Paid to Hospital	(\$4,500)
Balance Paid to HGA	\$425

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing WakeMed Health and Hospitals for Inpatient Care	Percent of Members Choosing WakeMed Health and Hospitals for Outpatient Care
1	600	1,100	60%	50%
2	1,100	2,000	60%	50%
3	1,800	3,200	65%	55%
4	2,800	5,000	67%	58%
5	3,900	7,000	68%	60%
6	5,400	9,700	68%	60%
7	7,200	13,000	69%	61%
8	9,200	16,600	69%	62%
9	11,500	20,700	69%	62%
10	14,000	25,200	70%	63%
11	16,600	29,900	70%	63%
12	19,100	34,400	70%	64%
13	21,400	38,500	71%	64%
14	23,500	42,300	71%	65%
15	25,300	45,500	71%	66%
16	26,700	48,100	72%	66%
17	27,900	50,200	72%	66%
18	28,700	51,700	72%	67%
19	29,400	52,900	72%	67%
20	29,900	53,800	72%	67%

KBA currently estimates that WakeMed Health and Hospitals has 24% inpatient market share, and 8% outpatient market compared to hospitals/clinics in the WakeMed Health and Hospitals service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to WakeMed Health and Hospitals.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 5,000 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 3,593,533	\$ 2,263,249	\$ 1,056,918	\$ 6,913,699
Net Income‡	\$ 1,006,189	\$ 633,709.6	\$ 295,937	\$ 1,935,836

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 9,933,200	\$ 15,577,267	\$ 7,274,451	\$ 32,784,918
Net Income*	\$ 2,781,296	\$ 4,361,635	\$ 2,036,846	\$ 9,179,777

† Assuming proportional revenues from market shares of 24% (inpatient) and 8% (outpatient)

‡ Conservatively assuming a commercial margin of 28% (80% of the estimated commercial margin)

° Assuming 67% inpatient and 58% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 28%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 7,243,941
Network Access Fee (Revenue) of \$1 PMPM	\$ 60,000
Total Profit Growth	\$ 7,303,941
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 7,123,941

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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